PORTLAND PUBLIC SCHOOLS

FINANCE DEPARTMENT

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Date: **October 13, 2025**

To: Michelle Morrison, Chief Financial officer

CC: Nuthathai Nicolaescu, Controller

From: Rachel Lopez Hopper, Senior Director of Finance

Subject: FY25 Year End Financial Audit Update

The final FY25 financial audit fieldwork began on Monday, October 6th. Four team members from TKW have been on site daily, collaborating closely with our staff to complete testing, conduct observations, and review activities from the year. Our audit partners have shared how much they appreciate being able to work in person this year - a welcome return to pre-pandemic practices.

Although we are managing some staff vacancies and employee leaves, our team's dedication and collaboration give us confidence that we will successfully navigate these challenges. We are committed to completing all work within our control on time and continuing to provide a thorough, high-quality audit process.

Single Audit for Federal Expenditures

Each year, the Federal Office of Management and Budget (OMB) releases updated audit compliance guidelines known as the Compliance Supplement. These guidelines are typically issued in May and provide auditors with the federal compliance requirements they must follow when reviewing federal expenditures. The results of this compliance review are presented in the Single Audit, which accompanies the Annual Comprehensive Financial Report (ACFR).

This year, however, the OMB has not yet issued the 2025 Compliance Supplement. The release, normally expected in May, remains delayed, and the recent federal government shutdown is anticipated to cause further postponement. No estimated release date has been provided.

Our audit team manager from TKW has shared that the American Institute of Certified Public Accountants (AICPA) has advised auditors to withhold issuing audit opinions for entities with significant federal funding until the final 2025 Compliance Supplement is published.

In the meantime, our auditors are proceeding with their review and testing based on the draft compliance supplement, operating under the assumption that no major changes will occur. However, if substantial revisions are included in the final version, the auditors may need to

conduct additional fieldwork and testing. This would result in a delay to the completion of the audit and, subsequently, the issuance of the final report and opinion letter to the Board.

Impacts of a Delayed Audit Report

If the delay in the issuance of the Federal Compliance Supplement results in a delay to the audit opinion letter and the Annual Comprehensive Financial Report (ACFR), the following impacts should be anticipated:

- **Audit Committee scheduling:** The Audit Committee may need to reschedule its meeting if it chooses to wait for the final audit opinion before reviewing FY25 audit results with the external auditors.
- **Board presentation:** The presentation of the ACFR and the final audit opinion letter to the Board would be postponed.
- **Regulatory submissions:** Submission of the final report to the Secretary of State would be delayed.
- **State reporting:** Submission of the final report to the Oregon Department of Education would also be delayed.

State School Funding

State School Fund distributions are established by state statute and depend on districts submitting their annual financial reports to the Department of Education on time.

Finance leadership at the Department of Education is aware that delays in the release of the OMB Compliance Supplement may affect districts' ability to complete financial reports and receive audit opinions by the statutory deadline.

Department representatives have shared that they are actively communicating with auditors and reviewing the statute to determine whether it would be appropriate to seek waivers for reporting delays. The goal is to prevent withholding of State School Fund payments from districts that are unable to meet the prescribed reporting timeline due to these delays.